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ARU stock acquisition and §338(h)(10) tax structure

Document ID: SH-IND-ARU-TAX-001 | **Version:** 1.0.0

Event/effective date: 2026-09-05 | **Available to case company:** 2026-09-05

Created at: 2026-09-05T22:16:52-07:00 | **Publication cutoff:** 2026-09-05T23:59:59-07:00

Fictional author: Buyer tax-review function with Tessa Rourke

Record origin: SYNTHETIC_COMPANY_ANALYSIS with EXTERNAL_RESEARCH

Evidence state: SYNTHETIC_RECONSTRUCTED deal assumptions; REFERENCE_ONLY real authority

Official-source retrieval: 2026-09-06 UTC / 2026-09-05 America/Los_Angeles

This is a cited synthetic transaction memorandum, not legal or tax advice, a filed return or an IRS determination. User decisions establish the fictional parties and intended transaction; they cannot override tax eligibility, election timing or arithmetic. The numerical source is [finance.json](#), not an independently authored second allocation.

Intended structure and real eligibility rules

The legal transaction is SHIH's purchase of 100% of ARU stock on January 7, 2026. A §338(h)(10) election generally treats an eligible target as making a deemed asset sale and liquidation for federal tax purposes. A qualified stock purchase requires at least 80% of voting power and value acquired by a corporation within the prescribed twelve-month period. The election is joint; every S target shareholder must participate. Form 8023 ordinarily is due on the fifteenth day of the ninth month after acquisition, yielding October 15, 2026 here. [IRS Form 8023 instructions, October 2023 revision](#).

S eligibility requires a domestic eligible corporation, allowable shareholders, no more than 100 shareholders and one stock class. Corporate shareholders and nonresident alien shareholders are ineligible. [IRS S corporation requirements](#).

Synthetic facts chosen to satisfy that structure

Fact	Case implementation and evidence boundary
Purchasing corporation	SHIH is a Delaware C corporation and purchases every ARU share; no rollover or disqualified partial purchase is modeled

Fact	Case implementation and evidence boundary
Target	ARU is a Wyoming domestic corporation with a valid pre-close S election, represented uninterrupted through the relevant pre-close period
Sellers	Fred Tolman 60%, Adele Tolman 20%, Nora Ashcombe 10%, Seth Kettering 10%; four U.S.-citizen natural persons, no trusts/entities or nonresident holders
Stock rights	One identical economic common class; no side distributions creating preferred rights; management service payments separately documented
Election cooperation	Buyer and all four sellers supply the intended joint election signature packet at close
Submission state	March 2 internal filing-ready review exists; this package does not establish actual IRS filing or acceptance. Controller's deadline remains tracked
Post-close ARU	Corporate buyer makes the prior S shareholder conditions unavailable; the case continues ARU as a wholly owned C corporate subsidiary

These are synthetic eligibility facts, not authentic historical election certificates. No actual tax ID, government stamp, letter of acceptance or filing confirmation is fabricated. “Filing-ready” is not silently promoted to “filed.” If the election is not timely and validly made, the deemed-sale basis case is unavailable and the alternative tax-basis scenario must be used; the share purchase itself does not disappear.

BS&T subsidiary treatment

ARU's wholly owned domestic railroad is modeled as a valid QSub from January 1, 2008 until the acquisition-related termination. IRS explains that a valid QSub election makes the subsidiary's assets, liabilities and tax items those of the S parent for federal tax purposes; it does not require an actual corporate dissolution. QSub eligibility requires complete ownership by an eligible S parent. [IRS Form 8869 instructions, December 2020 revision](#).

The case therefore includes the railroad's assets and liabilities in the old-ARU deemed-sale model while preserving BS&T's legal company, regulatory duties, workforce and separate operating books. This is an application of the cited QSub treatment to the explicitly assumed case facts, not a separate BS&T §338 election. The post-close corporate ownership/tax model must reflect termination of QSub status and continuity of the legal railroad. No deduction or asset-basis amount is established merely by calling a subsidiary a QSub.

Book purchase accounting and tax allocation

The book acquisition model measures the acquired net assets, retained liabilities, fees and goodwill independently of legal stock form. It is a synthetic PPA, not an audited appraisal. The tax allocation must distinguish purchase consideration, liabilities included under the tax model, asset-class basis, nondeductible transaction costs, financing costs and temporary differences. Equal book/tax starting values are a model assumption only where explicitly supported; accrued environmental/claim costs and later deductions cannot be ignored to force deferred tax to zero.

The January 1–6 stub in the financial source is an **economic closing bridge**. It is not an assertion that old-target federal tax reporting ends January 6. The tax analysis separately considers the January 7 acquisition-date deemed sale and the prescribed old/new-target timing; it does not move the locked legal close or backdate the buyer's economic control.

The controller maintains one reconciliation from the agreed allocation to the book PPA, tax-basis schedule and modeled deferred taxes. Seller-period obligations, tax-return cooperation, allocation consistency and any later true-up remain separately identified. The participant can test the validity and consequences of those assumptions without being told that a regulator approved them.

The derived financial case recognizes a conditional \$587,500 deferred-tax asset for the \$1.75M environmental accrual and \$0.60M claim accrual at a modeled combined 25% rate. It assumes eventual recovery through additional deductible acquired-asset basis, not an automatic immediate expense deduction when either reserve is paid. Both the tax rate and full realizability are explicit case assumptions. Identifiable net assets become \$33,237,500 and book goodwill \$14,762,500 against \$48M stock consideration. No reserve settlement or reserve deferred-tax reversal is assumed in 2026. Debt issuance costs are presented against debt, separately from expensed transaction fees. The generated finance reconciliation controls subsequent changes to these model assumptions.

The separate opening tax allocation is \$48M stock basis plus \$20M recognized assumed liabilities, producing \$68M modeled adjusted grossed-up basis. Those liabilities comprise \$3M payables, \$1M operating accruals, \$13.5M term/revolver debt and \$2.5M leases. Other acquired tax asset bases total \$55M: cash \$2M, receivables \$6M, inventory \$1.8M, prepaids \$0.7M, owned PPE \$42M and conditionally tax-owned leased property \$2.5M. Residual **tax goodwill is \$13M**, independently calculated from the book PPA. Net receivable tax basis, tax ownership of leased assets and zero additional buyer-cost allocation are disclosed conditional classifications; parent transaction-cost tax treatment is outside the forecast.

The \$2.35M environmental/claim reserves are excluded from that opening tax purchase-price measure pending economic performance. General assumed-liability principles distinguish acquisition from later recognition in purchaser basis; a later settlement can require redetermined acquisition basis and amortization rather than an immediate deduction. The IRS discussion supporting that distinction appears in [Treasury Decision 9158](#), [Bulletin 2004-42](#) and [Treasury Decision 9358](#), [Bulletin 2007-41](#). Their nuclear-decommissioning-specific provisions are not applied to this ordinary industrial acquisition. The case uses the general timing principle only; its actual liability classifications remain assumptions.

Opening book goodwill exceeds tax goodwill by \$1,762,500. The model separately identifies that initial component and recognizes no opening goodwill deferred-tax liability under a conditional initial-recognition accounting judgment. This is not an independently verified accounting opinion. Subsequent tax amortization creates a separately measured deferred-tax liability; the initial difference is not silently amortized as though it were tax basis.

Acquired qualifying goodwill is generally a §197 intangible amortized for federal tax over 180 months beginning with the acquisition month. That tax rule is separate from the model's nonamortizing book goodwill. [IRS Form 4562 instructions](#), [IRS intangible-assets guidance](#).

The elected-case tax rollforward therefore separately identifies its assumed tax-goodwill basis, monthly deduction and resulting book/tax difference. The finance model carries the resulting deferred-tax liability instead of asserting perpetual book/tax equality. Annual current-tax measurement uses cumulative taxable income, while scheduled cash payments and any tax payable or overpayment remain separate balances. A winter book loss is not erased by independently taxing each later profitable month. These synthetic measurement conventions remain conditional on the election, actual allocation and deduction eligibility; this memorandum does not certify a filed return.

September 5 action record

Confirm the four-person election packet, resolve the submission evidence and preserve proof before October 15; reconcile the QSub termination and allocation in the financial source; retain the no-election/unaligned-basis alternative; and do not book a tax benefit merely because the legal stock purchase closed. This is a bounded implementation/documentary condition, not a claim that external filing has already occurred.